	Conditions Model 1	Categories Model 2	Conditions Model 3	Categories Model 4
N	766	766	766	766

Note: All independent variables are lagged by one year. Robust standard errors are clustered at the country-level. Missing data is imputed with multiple imputation in columns 3 and 4.
***p <.01; **p <.05; *p <.1

While the IMF exhibits stronger evidence of concessions, likely because of the harsher nature of its conditions, the World Bank also shows a tendency to appease populists, albeit to a lesser degree. These findings highlight the adaptability of IOs in the face of political resistance and their willingness to compromise to ensure institutional survival.

5.4 Concluding Thoughts: The Role of Appeasement in Combating Populist Resistance

This chapter has highlighted appeasement as one of the key strategies IOs can use to navigate populist opposition. By offering concessions, IOs can incentivize populist leaders to remain engaged, ensuring their participation despite ideological resistance. Focusing on the realm of loan conditionality at the IMF and World Bank, our analysis revealed that populist-led governments tend to receive fewer and less stringent conditions on their loans. These findings were robust across a variety of analytical models and approaches.

Appeasement, however, is rarely a stand-alone solution. As discussed in the previous chapter, it often operates in tandem with sidelining populists and their constituents. While appeasement provides rewards to encourage cooperation, IOs can simultaneously prepare for diminished populist engagement. For instance, IOs may forge new information-sharing partnerships or reduce their reliance on populist-led states for critical inputs. This dual approach allows IOs to manage populist threats more holistically, balancing short-term incentives with long-term contingency planning.

The need for a multipronged approach stems from the costs of appeasement. Offering concessions—whether in the form of fewer loan conditions or the provision of other benefits—raises important questions about fairness and equity. IOs are fundamentally tasked with distributing